

Notice from the National Commission for Data Protection regarding government amendments to bill no. 7511 concerning the processing of health data in insurance and reinsurance and amending the amended law of December 7, 2015, on the insurance sector.
Deliberation No. 44/AV17/2024 of June 28, 2024.

1.
In accordance with Article 57, paragraph 1, letter (e) of Regulation No. 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter "the GDPR"), which is referred to in Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as "the National Commission" or "the CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."
Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a proposal for a legislative measure to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

2.
On January 27, 2020, the CNPD notified the draft bill no. 7511 concerning the processing of health data in insurance and reinsurance and amending the amended law of December 7, 2015, on the insurance sector (hereinafter "draft bill no. 7511").

3.
On June 4, 2024, government amendments related to the aforementioned draft bill were adopted (hereinafter "the amendments"). Although not directly addressed by the Minister of Finance, the National Commission nonetheless wishes to express its opinion regarding the amendments.

4.
It appears from the explanatory memorandum that the amendments aim to make targeted adjustments to draft bill no. 7511, following the opinion of the Council of State, and more
1 Deliberation No. 2/2020 of 01/27/2020.

2 Opinion of the Council of State of April 28, 2020, parliamentary document 7511/3.
CNPD

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Precisely "in response to the formal opposition of the Council of State regarding the right of an insurance or reinsurance company to derogate from one or more of the specific measures aimed at preserving the fundamental rights and interests of a person concerned by the processing of medical data, listed under point 2 of the new article 181-3 (previously 181 bis) proposed to be introduced into the amended law of December 7, 2015, on the insurance sector. Indeed, the Council of State believes that such a derogation mechanism would ultimately distort the utility of the safeguards for the fundamental rights of the person concerned."

5. Therefore, by amendment 2, it is proposed to modify the text of the new article 1 of the draft law so that the insurance or reinsurance company can no longer derogate from the entirety of the measures listed under point 2 of the new article 181-3 of the amended law of December 7, 2015, on the

insurance sector. A distinction will thus be made between the measures from which the insurance or reinsurance company cannot derogate under any circumstances (the encryption of health data in transit, the implementation of access restrictions and logging files, as well as staff awareness and the establishment of an internal policy), on the one hand, and those from which derogation may be permitted within the framework of a proportionality-based approach (appointment of a data protection officer, conducting a data protection impact assessment, anonymization or pseudonymization of data, regular evaluation by an independent audit, as well as the adoption of sectoral codes of conduct), on the other hand.

6. Any derogation from this second category of measures must be documented internally. Indeed, the obligation to implement all the measures listed under point 2 of the new article 181-3 of the amended law of December 7, 2015, on the insurance sector could never have been complied with, either in theory or in practice, by any insurance or reinsurance company operating in Luxembourg for all its various personal data processing activities, and would again place the sector in illegality. The aim of draft law No. 7511, namely to put an end to the legal uncertainty affecting said companies by introducing a legitimacy basis for the processing of health data into national law, would then not be achieved.

7. The CNPD can therefore only welcome that there can be no derogation from the measures provided for in letters d), e), f), g), and j) of the new article 181-3 of the amended law of December 7, 2015, on the insurance sector, while it joins the explanations of the authors of the draft law contained in the commentary on amendment 2 regarding the measures from which derogation may be permitted, provided that it is documented internally.

3 See letters d), e), f), g), and j) of the new article 1, first paragraph, of draft law No. 7511.

4 See letters a), b), e), h), and i) of the new article 1, first paragraph, of draft law No. 7511.

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8. Furthermore, the amendments now introduce the obligation to keep this documentation on any derogations available to the National Commission, a modification that it can only support. It should be specified in this context that in accordance with Article 57.1.a) of the GDPR, to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the CNPD has the mission to monitor the application of the GDPR and ensure compliance with it. It could therefore decide to verify whether insurance and reinsurance companies have complied with their obligation to document and justify the exclusion of one or more of the measures listed under point 2 of the new article 181-3 of the amended law of December 7, 2015, on the insurance sector, by adopting, if necessary, one of the corrective measures provided for in Article 58.2 of the GDPR.

Thus adopted in Belvaux on June 28, 2024.

****The National Commission for Data Protection****

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Lare Lemmer

Commissioner

Alain Herrmann

Commissioner

5 See second paragraph of the new article 1 of draft law No. 7511.

6 Article 12 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers to the powers of the CNPD in Article 58 of the GDPR.

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